

digital gold, she only receives the gold equivalent of ₹970 in her digital account. The capital gains on digital gold are taxed on par with physical gold.”

Then follow sovereign gold bonds, or SGBs—government securities expressed in grammes of gold, providing an alternative to possessing physical gold. Investors are required to make the payment in cash at the issue price, and the bonds will be redeemed in cash upon reaching maturity.

There is no buying or redemption cost on SGBs if purchased in the primary market and held till maturity. It also fetches a 2.5% interest per annum, taxed at slab rates. Even the capital gains on SGBs are tax-free if held until maturity. Though SGBs are listed on stock exchanges, liquidity could be challenging. They can be

bought online through the website of scheduled commercial banks.

And last, there are gold ETFs that directly invest in gold, and the units of these ETFs are listed on stock exchanges. Gold ETFs provide a more transparent way of investing in gold compared to the other two formats. It can be bought or sold at market-linked prices, involves no storage, and is highly liquid. But it also requires a demat account and attracts brokerage charges and a nominal expense ratio.

Gold ETFs help resolve concerns over purity, storage, and liquidity. The ETF units are stored in your demat account. You can buy as much or as little as you want from asset management companies, hold your units for any length of time, and sell when you're ready.

COST FACTOR

In reviewing the costs tied to digital gold, gold ETFs, and physical gold, one should also bear in mind how these may influence long-term yields. Let's delve into each option.

Digital gold platforms usually charge a fee for the purchase, sale, or deposit of gold. There can also be transaction fees, management fees, or service charges. These costs can erode overall returns on investment. It is crucial to know about these charges and make an informed comparison between different providers before investing in this instrument.

Gold ETFs entail a different expense structure, which commonly includes expense ratios that reflect the management cost of the fund. Transactions on the stock exchange might attract

FIVE-YEAR AVERAGE RETURNS

▶ Gold on MCX outperformed ETFs with a 5-year average return of 15.36%

▶ LIC MF Gold ETF surpassed other gold MF ETFs with a 5-year average return of 14.61%

